

Intro to Contracts

Contract asks “Of all the promises made in the world which ones should courts enforce?”

Langdell: Organized scenarios where one party is entitled to money/property from another party into 2 causes + a 3rd concept that is newer

- a. Law of **Torts**: Departure from the behaviour expected from all people in civil society -> known as *negligence*
- b. Law of **Contracts**: Departure from the behaviour expected by self-imposed agreements via promises or agreements
- c. Law of **Restitution**: A person who has been unjustly enriched at the expense of another is required to make restitution to the other, focus is on the **plaintiff** not the **victim**

Williston: Developed a “classical” opinion of contracts, focusing on the idea of **consideration** -> *giving and getting something b/w parties*

- a. This approach removed the enforceability of promises of attending dinner or giving gifts, but also inducing another parties to take an action
- b. The remedy that arose from this approach is pay the injured party money to restore them to the economic position they would have been if the other party completed their agreement

Corbin: Agreed with Williston on principle of *consideration* but loosed the rules on what qualified to allow for promises to make gifts enforceable as long as some kind of return could be identified.

- a. Introduced the idea of contractual liability, known as ***promissory estoppel (or reliance)***
 - This concept allowed for compensation for failed expectations to remain the main remedy approach but also allowed for remedies to be developed by considering costs incurred relying on a promise.

What makes a valid contract?

1. Agreement
 - a. offer AND acceptance
2. Intention to create legal relations
3. Certainty
 - a. terms are not *too vague*, courts can try to infer terms in a contract though

4. Consideration

- a. the “price of which a promise is bought”
- b. to enforce promises you must determine you have provided consideration
- c. exceptions to this rule is promissory estoppel and contracts executed under seal
- d. consideration must be **sought** by the promisor, not just a consequence of the promise
 - i. the promisor must offer and ask for something

Case Study: Lath v Mitchill

Facts: Laths proposed selling their property to the Mitchills and orally discussed how the Laths would remove an icehouse they own from across the street as well. But when the contracts and papers were drafted to complete the sale of the property, the icehouse removal wasn't included, and the Laths haven't completed the removal. The Mitchills are suing for violating of the agreement

Issue: Can the oral agreement be enforced?

Held: No it cannot be enforced, the written agreement about selling the house was very comprehensive, and therefore, if there was a clause about selling the ice house, it should have been included in the agreement.

The oral agreement that is trying to be honoured would modify the written agreement by parol.

Parol evidence rule: defines boundaries that a contract can be modified by via parol (oral agreement modifying written agreement). 3 conditions **must** be met to allow for modification via parol:

1. Verbal agreement must be a collateral one (collateral contract is defined as a contract that is a separate agreement that exists alongside the main contract to induces one party to enter into the main contract's agreement)
2. The agreement must not contradict any express or implied provisions of the written contract
3. The agreement is not one that parties would be normally expected to have written down in writing

The judges decided that the oral agreement is **NOT** collateral to the written agreement since its subject is closely related to the subject of the written agreement. The agreement to remove the icehouse naturally should be included in the property sale

agreement. The oral agreement itself contradicts the written agreement. The majority ruled that the written agreement was a **complete integration** and therefore cannot be modified.

Complete integration: fully-fleshed out and developed contractual agreement, preventing any external (parol) evidence from modifying it

The **majority** decision leaned towards the Williston philosophy, also known as the *four-corner* rule, wherein any term that isn't mentioned in a contract cannot be considered evidence if the court concludes that it would have been **natural** for the parties to include the term in writing. The **dissent** took the Corbin approach, deciding that the intent of the parties and the natural of the negotiations would have meant that he would **not** naturally expect the side deal about the ice house to be included in the writing.

Cases such as the *Holmes v Lerner*, Snapchat and Facebook feud highlight a common issue that is faced by start-ups and entrepreneurs, which is a lack of a formalized contract that outlines terms and agreements, otherwise any drama can cause fights to breakout and deals to be reneged.

Consideration and/or Reliance *can* replace notarization, sealing, and bargaining elements of a contract (see MLK and BU case study)

Offers becoming Enforceable (or not)

Leonard v Pepsi: Offer DID NOT become enforceable

- Considered if a reasonable person would find the offer to be legitimate -> they would NOT (*jesting*)
- Pepsi also can reject the order offer that Leonard sent, they are not obligated to fulfill the order. A contract is only in place when the entity making the offer accepts the offer and processes payment, Leonard's order form is an offer itself, and Pepsi chose to reject it
- The ad did not state the steps people must take to accept any offer and did not state the # of planes available, characteristics of marketing advertisements, not offers

Lefkowitz v Department Store: Ad DID become an offer

- Initially Lefkowitz was rejected from purchasing because the store claimed the ad was only for women
- However, the ad was enforceable because it never stated that it was only for women AND it limited the quantity offered (max 3 coats) as well as the number of people who could act on it (first come first serve) [CHECK IF THIS IS A REQUIRED CONDITION FOR A CONTRACT, ASK PROFESSOR OPPONG]

- This is opposite from what Pepsi did, providing no limitation to the # of planes or people who could get a plane

Case Study: Augstein v. Leslie

Key Concept: **mirror-image rule**: Acceptance of an offer **must** conform to terms of the offer or **else** constitute a counter-offer and is a rejection of the original offer -> Augstein's return of Leslie's laptop was an incomplete attempt at the completion of the unilateral contract, therefore mirror-image rule states it constitutes a counter-offer for a lesser reward.

ASK OPPONG: para.1 on page 30, explain the second half of the paragraph

Case Study: Trump v Maher

Key Concept: **mailbox rule**: Acceptance of the offer and creation of a binding agreement occurs on the **sending** of the acceptance letter by the offeree, not upon **receiving** the letter by the offerer -> Trump sending the information proving his parentage constituted a binding contract between him and Maher

- The concept of mailbox rule applies to bilateral contracts NOT options contracts
 - Options contracts -> the offeror has

Case Study: Strata v Crystal Square

Procedural History: On appeal from the BCCA where the court decided that Strata Co. had entered into a post-incorporation contract on the same terms as those of the ASP Agreement. Strata Co. appealed this decision.

Facts: Between '99 and '12 the Strata company paid for and used the parking space provided by the CSPC. In '12 after an argument, the Strata stopped paying, and claimed they weren't bound by any agreement to pay since Strata didn't exist when the agreement for parking services to be paid for was signed. Trial judge determined there was **no** binding contract, but BCCA judge found that Strata's conduct implied a contract since they were paying, the SCC heard the case on appeal.

Issues:

1. Can a pre-incorporation contract be binding to a corporation that did not exist when it was signed?
2. If the answer to (1) is no, can the conduct of the corporation **imply** the entry into an post-incorporation contract via its conduct?

Held: Appeal was dismissed. It was decided that although Strata Co. shouldn't be bound by the pre-incorporation agreement, its conduct created a post-incorporation contract that it was bound by that was identical to the pre-incorporation one.

Terms:

- *Running with the land:* rights or duties that are tied to the land itself, not the owner of the land, so that there is an obligation to the land that is passed through transactions
 - *Positive covenants:* land agreements that outline duties that owners **MUST** do to land (ex. Maintaining the yard)
 - *Restrictive covenants:* land agreements that outlines things the owner **CAN'T** do to land (ex. Can't build above a certain height)
 - **NOTE:** Positive covenants **CANNOT** be "running with the land"

Reasons: In para [33] Cote writes that there is an objective test that can be done to determine if a post-incorporation contract is present: *Would a reasonable person in the position of one party consider that the other party's conduct constituted an offer? And would a reasonable person in the position of the other party think that the original party's behaviour constituted an acceptance?* Strata Co. acted in a way that implied an acceptance to a binding contract with CSPC because they were paying for a parking space that CSPC allotted to their employees, which constituted consideration.

Ratio:

1. The behaviour of an entity can act as either an offer or an agreement to an offer and create a binding contract using an objective assent test that checks if a reasonable bystander would understand both sides behaviour to be accepting and offering an agreement, formal documentation is not always needed
2. Pre-incorporation and post-incorporation agreements are strangers and unique from each other, however pre-incorporation agreements can be used when analyzing the behaviour of parties when determining acceptance of post-incorporation agreements via conduct
3. Post-incorporation contracts are enforceable even if they affect interests in the land, and the claim of "running with the land" isn't why the corporation was bound, but because it entered the contract

Case Study: Wells v Devani

Procedural History: On appeal from Court of appeal of England and Wales.

Facts: Mr Devani assisted Mr Wells in finding a buyer for his remaining flats, however when Mr Devani wanted the commission he was owed for his help, Mr Wells refused to pay, claiming that there was no formal contract between them that outlined Mr Devani as Mr Wells' agent that bound Mr Wells to pay Mr Devani commission. Also Mr Wells said that Mr Devani failed to comply with s.18 of the Estate Agents Act because he did not tell Wells what the "trigger" for his commission to be owed was before their agreement, and he didn't provide that information in writing either until after the purchase was completed by Newlon Housing Trust.

Issues:

1. Can a contract be binding if it wasn't explicitly stated and if it lacked terms that are usually implied in certain types of contracts (estate agents being paid commission for selling houses)
 - a. Can the courts *infer* terms not explicitly outlined in a contract?
2. Should the courts enforce the contract even though Devani violated s.18 of the Estates Agent Act, and if so, should he be penalized in any way?

Held: Appeal was allowed, the Supreme Court decided that there was a binding contract by way of the fact that any reasonable person would have concluded that the discussion between Devani and Wells about Devani's commission and his role as an estate agent, as well as Wells' desire to sell his flats constituted a legally binding relationship. As for the s.18 violation, the court's recognized Devani's culpability in the matter but also noted the circumstances that surrounded the sale of the houses and how Wells was away for a time, therefore instead of voiding the agreement, Devani lost out on 1/3 of his commission. The question of prejudice when determining Devani's consequence was how much did Wells suffer from not receiving written terms, and the court determined that he did not suffer enough to void the contract but instead Devani suffered a 1/3 reduction in his fee.

Reasons: The court considers the context of the legal agreement between Devani and Wells, and notes that although there was no formal agreement between the parties that outlined trigger conditions, or how much Devani would be owed, or if there was any agreement to begin with, all the behaviour of both parties implied an agreement to enter into a legal agreement. The judges determined that at the very least, for Devani's business to be sustainable, he'd need to be paid for his role in selling Wells' flats, thereby implying the terms of a contract that wasn't explicitly

outlined (para 29). The idea of commission being awarded to Devani *goes without saying*. As for the s.18 violation, the courts retain the right to enforce contracts even when s.18 is violated at a reduced value paid to the violating agent, in which case Devani had 1/3 of his commission removed from the total sum.

Ratio:

1. The courts can enforce contracts by assessing that a *reasonable person* would have determined that commission would be payable upon the sale of property by the estate agent, using a contextual and objective approach
2. The courts retain the right to enforce contracts even in the face of s.18 violations if they feel that the circumstances surrounding the violation and the behaviour of the violator was not overly malicious and instead a reduction in commission is appropriate.

Offers in Contract Law

Offer

- Defined as an expression by one party of his assent to certain definitive terms, provided that the other party involved in the bargaining transaction will likewise express his assent to the identically same terms
- Creates power of acceptance in the offeree
 - o Contract is established once the offeree provides a voluntary expression of assent -> this is what creates the “power of acceptance”
- The “offering” act must create a reasonable belief to the offeree that the power to create a contract is conferred on him
 - o This reasonable belief is what is used to dispute claims that were made in jest or preliminary negotiations as legally binding contracts
- Note that for an offer to be valid, it must contain both what the offeree **will do or promises to do** and what the offeree **wants from the other party**

Case Study: Denton v. Great Northern Railway Company

Facts: On March 25th Denton had booked a ticket with the Great Northern Railway Company (GNRC) for a train going to Hull from Peterborough based on the time tables provided by the GNRC. However, the train didn't exist, and when Denton confronted GNRC he was told that their control ends at Askerne and that another train company controlled the line going to Hull. There was a partnership between GNRC and another train company that had set up the line going to Hull, but that train line going to Hull was cancelled after March 1st by the other train company, and

the GNRC were informed of that change around the end of February. In light of this cancellation, the GNRC made no changes to their time table to reflect this change and published the time tables for March. Denton missed his meeting on March 26th and sued GNRC. It's not clear according to the time tables if the train to Hull was under the control of the GNRC.

Issues:

1. Is there a valid offer from the GNRC to the public?
2. If yes, was Denton's reliance on the timetable and coming to the station conduct that implies an acceptance of the offer and thereby creating a contract?

Held: The judges ruled in favour of Denton, however they were split on the matter of it being a contract issue. Campbell and Wightman both agreed there was a contract present based on the time tables being advertised, but Crompton believed there wasn't a contract present. All judges agreed on judgement for the plaintiff based on the issue of false representation by the GNRC.

Reasons:

- The GNRC circulated the time tables and promised to give tickets for any specific train running at a certain time and heading to a certain location to anyone in exchange for anyone coming to the station and purchasing the price of the ticket
- The circulation of the time tables to the public is equal to if the company gave each person the time table individually, creating an offer, meaning that if any of the individuals accepted the offer by fulfilling the conditions of the offer, a contract is in place
- Denton paid for a ticket and did it voluntarily, feeling as though he had the choice to purchase the ticket, fulfilling the offer's conditions to make it a contract
- The condition of GNRC not being responsible for delays by accident does not apply here, because a delay isn't the issue here, the issue is that there isn't even a train that can be delayed

Ratio:

- Representation made to the public, such as a timetable, can qualify as an offer if it sets out specific details such as price, route, and time that the public is invited to rely on as true and act based off of.

Case Study: Johnston Brothers v Rogers Brothers

Procedural history: On appeal by the defendants from County Court of Middlesex where the judge ruled in favour of the plaintiffs

Facts: Rogers Bros quoted the Johnston Bros for prices of flour, and when the Johnston Bros responded via wire to order the flour they were informed that it can't be sold to them at the price that they were quoted. Johnston Bros sued Rogers Bros for breach of contract for the sale and delivery of the flour

Issue:

1. Does a quoted price constitute an offer to sell that the receiver of the quote can accept and form a binding contract with?

Held: The judge allowed the appeal and reversed the decision, Rogers Bros did not establish an offer in their quotation of the flour price.

Reasons:

- Referencing the *American and English Cyclopedia of Law* it was determined that a quotation of prices isn't an offer, and a contract won't be established just by accepting that price, instead the offerer of the price must accept the order to create the mutuality of obligation (see *Leanord v Pepsi*)
- Comparing to *Harty v Gooderham*, that case did constitute an offer being made by the seller because the buyer made the initial inquiry and the seller responded with prices and details and invited the seller to make an order.
- The same type of offer doesn't exist in the letter from the Rogers Bros.
- Regarding the final paragraph, the urging to use a wire to order can be understood as an extension of the quotation of prices and an acknowledgement that the prices can change rapidly

Ratio:

- A quotation of prices does not create an offer, there must be a direct and clear call to order
 - o Furthermore, an offer must contain both sides consideration
- Rogers Bros, when providing a quotation, reserves the right to accept the **real offer** from the Johnston Bros when they decide to place an order

Case Study: Harvey v Facey

Facts: Facey was asked would he sell Bumper Hall Pen, and what his lowest price for it would be. Facey responded with only answering what the lowest price would be, Harvey responded by agreeing to buy BHP at Facey's price point. No sale is made though.

Issue:

- Is Facey's statement of his lowest price qualify as an offer that Harvey could accept and form a binding contract with?

Held: The judges ruled in favour of Facey, his response outlining the lowest price did not constitute an offer.

Reasons:

- Facey only answered the question regarding his lowest price, not his willingness to sell at that price
- The offer that could exist in this scenario would have to come from Harvey who would offer to purchase BHP at the price Facey mentioned, and Facey would be the one who would choose to accept that offer and form a binding contract
- Providing a quote in response to an inquiry does not provide the intention to create legal relations on the terms contained in the quote

Ratio:

- A statement of price as a response to an inquiry does not constitute a formal offer unless attached to that quote is a declaration of willingness to sell

Case Study: Lefkowitz v Great Minneapolis Surplus Store

Procedural History: On appeal from the Municipal Court of Minneapolis denying the motion of the defendant for amended findings of fact or for a new trial after the court awarded the plaintiff the sum of \$138.50 as damages for breach of contract

Facts: Department store put an ad that outlined a sale on coats one week and scarves and stoles the week after on a first-come, first-served basis. The ad included price, quantity of items (3 coats, 2 scarfs, 1 stole), and quantity of purchasers (first-come, first-serve). Lefkowitz was the first one at the store on both weeks yet was refused the opportunity to purchase either item because the store cited a "house rule" that wasn't in the ad that stated that only women could purchase the items.

Issues:

- Is the ad the store posted qualified as an **offer** or an **invitation to offer**?
 - o *Offer v Invitation to offer*
 - *Offer* = expression by one party of his assent to certain definitive terms, provided that the other party involved in the bargaining transaction will likewise express his assent to the identically same terms

- *Invitation to offer* = Expression by one party of his assent to accept offers from the other party
- Are the “house rules” enforceable with respect to the contract between the parties?

Held: The courts dismissed the appeal, determining that the ad from the store qualified as an offer, not an invitation to offer, and that the house rules were not applicable.

Reasons:

- Although the store claimed that the ad was a “**unilateral offer**” which they reserved the right to rescind without notice at any time and only operates as an **invitation to offer**, the court disagreed
 - **Unilateral offer** = an offer where the offerer agrees to pay or give a reward upon the completion of a task or action by the offeree
- The courts ruled that the ad was “**clear, definite, and explicit, and left nothing open for negotiation**” and since he both appeared first to the store and provided the price stated on the ad, he completed his side of the performance and therefore the store was expected to complete its side of the performance
- Regarding the “house rule”, this restriction didn’t exist in the ads and furthermore, the store could have modified the ad at any time before the acceptance to reflect this rule, but once Lefkowitz both arrived first to the store and produced the money, the store can no longer modify the ad

Ratio:

- If an ad is clear enough on terms of price, quantity of items and purchaser, and no room for negotiation is present, the ad can be considered to be a unilateral offer that can be accepted upon providing the price of the goods
 - If the store protects itself from **unlimited liability** in their ad by constraining all conditions on this offer, their ad can be considered an offer
- Ads that function as offers can be modified up until the point of acceptance by a customer, as once the customer attempts to purchase a good, they have completed their part of the unilateral contract and therefore the store owes them the good according to the ad

Case Study: Pharmaceutical Society of Great Britain v. Boots Cash Chemists (Southern) Ltd.

Facts: Society brought forth a suit claiming that Boots is allowing for the sale of Part I-type poisons that wasn’t sold by or under the supervision of a registered pharmacist, violating s.18 of the Pharmacy and Poisons Act. Society argued that the

sale occurred when the customer picked out an item from the shelf, while Boots argued that the sale only occurred after payment and under proper supervision.

Issues:

- Is the offer that exists:
 - o from the pharmacy to the customer in the form of having the items on the shelf and therefore the offer is accepted and the contract is completed once the customer puts the item in his shopping cart **OR**
 - o is the offer that exists when the customer brings the poison to the cashier and attempts to purchase it, and the offer is accepted and the contract is completed when the sale is complete and the item is exchanged for its price by the pharmacist or under their supervision

Held: The judge ruled in favour of the defendant, deciding that the offer is from the customer to the store, and that the contract is only complete upon the sale being complete

Reasons:

- The ability to put items in and out of a cart cannot constitute accepting and completing a contract
 - o Think of a bookstore that people walk around, looking at books and putting and removing them from a basket, only once the customer arrives at the cashier does the offer of purchasing from the customer become active and the cashier accepts the offer by completing the sale and thereby completing the contract
- If the sale is to occur instead upon putting items in the cart, then anytime a customer puts item X into his cart and later sees item Y and prefers it over item X, he cannot swap the items because he is bound by the contract that he completed
- The judges decided that “the contract is not completed until, the customer having indicated the articles which he needs, the shop-keeper, or someone on his behalf, accepts that offer. Then the contract is completed.”

Ratio:

- The offer that exists between a store that allows for items to be put in a shopping cart and a customer is the customer **offering** to the store a purchase request, which the store can choose to accept or reject, and if accepting the offer, the store completes the contract by completing the sale
 - o The risk of **unlimited liability** would be present otherwise

Acceptance of an Offer

Case Study: Shatford v British Columbia Wine Growers Ltd

Facts:

- An offer expired from being available for acceptance and the cause for the delay of acceptance is irrelevant to the courts

Issue:

- Can an offer expire?
- What conditions can lead to an offer expiring?

Held:

- The court ruled that the plaintiff didn't accept the defendant's offer in time.

Analysis:

- The court considered the commodity that was being bargained for, the time of year of the offer, and the necessity for a prompt decision as to whether an offer can be accepted or not
- The mailbox rule doesn't apply because the offer still needs to be accepted within a reasonable time regardless of the method of which acceptance is determined

Ratio:

- Contracts must be accepted within a reasonable time that is determined by the circumstances that surround the offer and if there is a necessity for a prompt decision

Case Study: Manchester Diocesan Council for Education v Commercial & General Investments Ltd

Issue:

- What should come of an offer that is set without explicitly mentioning an expiry limit? How should the courts handle the behavior of both parties with regards to an offer expiring?
- Should the offerer be entitled to dictate the method of acceptance in the terms of the offer and avoid being bound if the acceptance does not match his outlined mode of acceptance

Ratio:

- Offers that do not contain a time limit for expectance must be accepted within a reasonable time which is defined by understanding for the circumstances that surround the offer when it was made
- Until the offer is accepted the offerer can withdraw the offer and until a reasonable time has passed the offeree can choose to accept or reject the offer
 - o Between the choices of interpreting an offer expiring as a withdrawal by the offerer or a rejection by the offeree, the courts chose to prefer the idea of the offeree rejecting the contract
- As for the dictation of terms, if the offerer states in no uncertain terms the method of acceptance and includes the terms insisting that only acceptance in that mode shall be binding
 - o Otherwise any form of acceptance that is not any less advantageous than the mode of acceptance outlined is to be accepted and conclude the contract

Case Study: Larkin v Gardiner

Facts:

- P hired a real estate agent to sell her home, D signed an offer given by the real estate agent to purchase the home at a fixed price, the real estate agent then presented the offer to P who signed as well, agreeing to the terms
- D later went to the agent and told the agent his desire to withdraw from the contract, up to that point the agent did not inform D that P signed the offer

Issue:

- Does the signature of P for an offer without informing D constitute an acceptance and a binding contract?

Analysis:

- The courts decided that there must be an action done to signify one's acceptance to a contract
 - o In this case the court decided that D should've been informed of P's acceptance of the offer

Ratio

- Until the offeree does an irrevocable action to signify their acceptance of an offer made by the offeror, the offerer retains the right to withdraw the offer as if the acceptance was never made

Case Study: Dickinson v Dodds

Facts:

- D made an offer to P to sell his property with a time limit of Friday at 9 am
- P decided to accept the offer on Thursday of the same week but didn't signify his acceptance to D, believing that he still had until Friday to signify acceptance
- After finding out from a third party that D was shopping his property around, P went to the MIL of D to give formal acceptance
- The MIL forgot to inform D of this acceptance
- P's agent and P tried to give duplicate acceptance letters to Dodds at 7 am on Friday and were rejected saying that D already sold the property

Issue:

- Did the formal acceptance handed to D's MIL qualify as forming a binding contract?
- Can D sell the property before the expiry of the offer and have it be valid?

Held:

- The courts ruled that there was no binding contract between P and D to not sell the house before the expiry date of the contract

Analysis:

- The courts determined that although there was an offer to sell by D, there was no promise by D attached to that offer to keep the property unsold until the expiry date of the contract
- The promise to keep the property unsold was a *nundum pactum* which the court didn't enforce
 - o ***Nundum pactum*** = a bare or gratuitous agreement that lacks legal force because there is no **consideration**
 - o There was a *nundum pactum* because of the promise offered by D that he would keep the property unsold until Friday @ 9AM but there was nothing from P's side to complete the consideration requirement
- There was a clear intent to withdraw the offer that was communicated by D once P found out that he was selling his property to someone else and did not intend to sell to P any longer
- This behaviour that constitute a withdrawal of offer was sufficient to be a withdrawal itself since P acknowledged as well the desire by D to withdraw

Ratio:

- If the offeree has seen evidence of the offerer's desire to withdraw his offer and the offer hasn't been accepted yet, the offerer is entitled to withdraw the offer if there is no binding agreement to enter into a separate contract with another party

German Civil Code S.145

"An offer to contract is binding upon the offerer unless he has provided for the contrary"

- This contrasts the Canadian legal interpretation of the revocability of contracts
 - o In Canada the offerer can rescind the offer whenever they want provided that the offer hasn't been legally accepted yet even if they promised to keep it open

Uniform Commercial Code S.2-205 – Firm Offers

This section states that an offer by a merchant to buy/sell goods in signed writing that includes an assurance that it will be held open is not revocable on the grounds of *nundum pactum* (lack of consideration) but also the period of irrevocability cannot exceed 3 months. That type of assurance of irrevocability must be signed by the offerer to the offeree separately from the offer itself.

Case Study: Felthouse v Bindley

Facts:

- P and the nephew of P were negotiating the price of a horse that was to be sold
- The final correspondence on Jan 2nd from P to his nephew stated a price that he wanted to buy the horse at and the term that if he heard nothing further about it then it is to be assumed that the nephew agreed to the offer at the aforementioned price
- P's nephew did not respond and on Feb 25th during an auction D was told by the nephew that the horse is already spoken for and not to be sold
- D sold the horse and there was nothing that proved that the horse belonged to P
- It wasn't until the 27th of February that the nephew wrote to P outlining his intent to accept and his acceptance of the offer

Issue:

- Is silence an valid method of accepting an offer?

Held:

- The courts ruled in favour of the defendant, citing that there must be an actual response to an offer in the affirmative to qualify as creating a contract

Analysis:

- The auctioneer did not need to respect the contract that was set between P and his nephew because there was no contract to begin with
- The nephew did nothing to communicate his intention to sell to his uncle or done anything to bind himself to the offer

Ratio:

- Silence as a response to an offer to accept the offer is not a valid way to accept the offer

Case Study: Wheeler v Klaholt

Facts:

- P sent D an offer to purchase goods that D is already in possession of or return them immediately
- D took an unreasonable amount of time to return the goods, and upon returning the goods it was clear that the shoes were defaced and moving

Issue:

- Does the lack of a response qualify as an acceptance of an offer if one party already possesses the goods that are being negotiated for?

Held:

- The courts decided that there is a valid acceptance present by the silence from D because the 2 options that were offered were either providing the money or returning the goods immediately, and since D already possessed the goods, their silence amounted to acceptance.

Analysis:

- The courts decided that the defence that D provided by citing *Hobbs v Massasoit Whip Co* was invalid, claiming that the 2 parties were not strangers to each other, and that D was in possession of the shoes because of their own previously-existing desire

- The courts decided that also the principle that D cited was unfair that stated how it's impossible to accept an offer without sending the money
 - o However the court noted that the alternative, sending the goods back, was never considered by D

Ratio:

- Silence can constitute an acceptance if the parties have a pre-existing relationship and if the parties are already in possession of the goods being bargained for [check with Oppong if we're supposed to consider restatement of the law of contracts as part of the ratio]

Case Study: Eliason v Henshaw

Facts:

- P sent an offer of purchase to D that outlined that their acceptance must come via the wagon that the letter was received by
- D sent an acceptance but it was not via the wagon, so P rejected the acceptance, claiming that there is no obligation binded them since the acceptance of the offer wasn't aligned with the offer letter's terms

Issue:

- Can the offerer dictate the method in which an acceptance is given?

Held:

- The court decided in favour of P, stating that there was no contract present based on the departure of the terms outlined in the offer

Analysis:

- The courts decided that since part of the terms for the offer was how the acceptance was to be sent, since that was a term included in the offer, a departure from those terms invalidated the offer

Ratio:

- A departure from the terms outlined in an offer, including method of acceptance, invalidated the offer itself

Case Study: Hyde v Wrench

Facts:

- D offered to sell P his property at 1000 €
- P counter-offered at 950 € and then after receiving a rejection of the offer, tried to accept the offer of 1000 €

Issue:

- Does a counter-offer constitute a rejection of the original offer and therefore absolves the offerer of the original offer from being bound by the original offer?

Held:

- The courts decided that the original offer is no longer valid and therefore can no longer be accepted

Analysis:

- If D's original offer had been accepted right away, it would have been a perfectly valid contract, however P made an offer of his own, and therefore also rejected D's offer

Ratio:

- The creation of a counter-offer constitutes a rejection of the original offer and renders that offer impossible to accept later